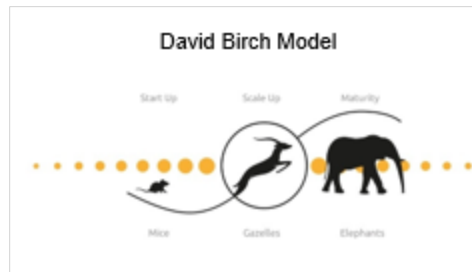
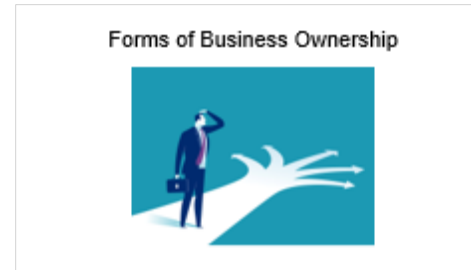


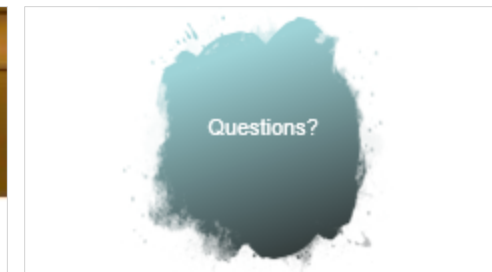
The background image shows several small green seedlings with multiple leaves growing out of tall stacks of gold-colored coins. The stacks vary in height, with the central one being the tallest. The scene is set against a dark, blurred background, suggesting an indoor environment with soft lighting. The overall theme is growth, investment, and wealth creation.

Business and Society, Wealth Creation

Business and Society



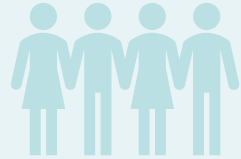
Coach
Case Study
Why Gen Z Fell in Love with Coach
Business, Society & Wealth Creation



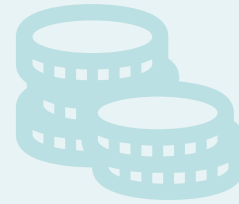
Wealth Creation



Wealth Creation



WEALTH (N) “THE ANNUAL PRODUCE OF
THE LAND AND LABOUR OF SOCIETY”
ADAM SMITH, 1776



WEALTH CREATION: COMBINING
MATERIALS, IDEAS, LABOUR,
TECHNOLOGY SO THAT THE OUTPUT
CAN BE SOLD FOR MORE THAN COSTS.
THIS PROFIT BRINGS WEALTH TO THE
PEOPLE AND SOCIETY INVOLVED IN
PRODUCTION.

Wealth Creation



Combination of inputs



Supportive environment



Means of production



Someone who will pay more than costs

Forms of Business Ownership



Forms of Private Business Ownership



Sole Proprietorships

- A business ownership in which the sole proprietor's status as an individual is not legally separate from his or her status as a business owner

Partnerships

- An association of two or more persons who operate a business as co-owners by voluntary legal agreement

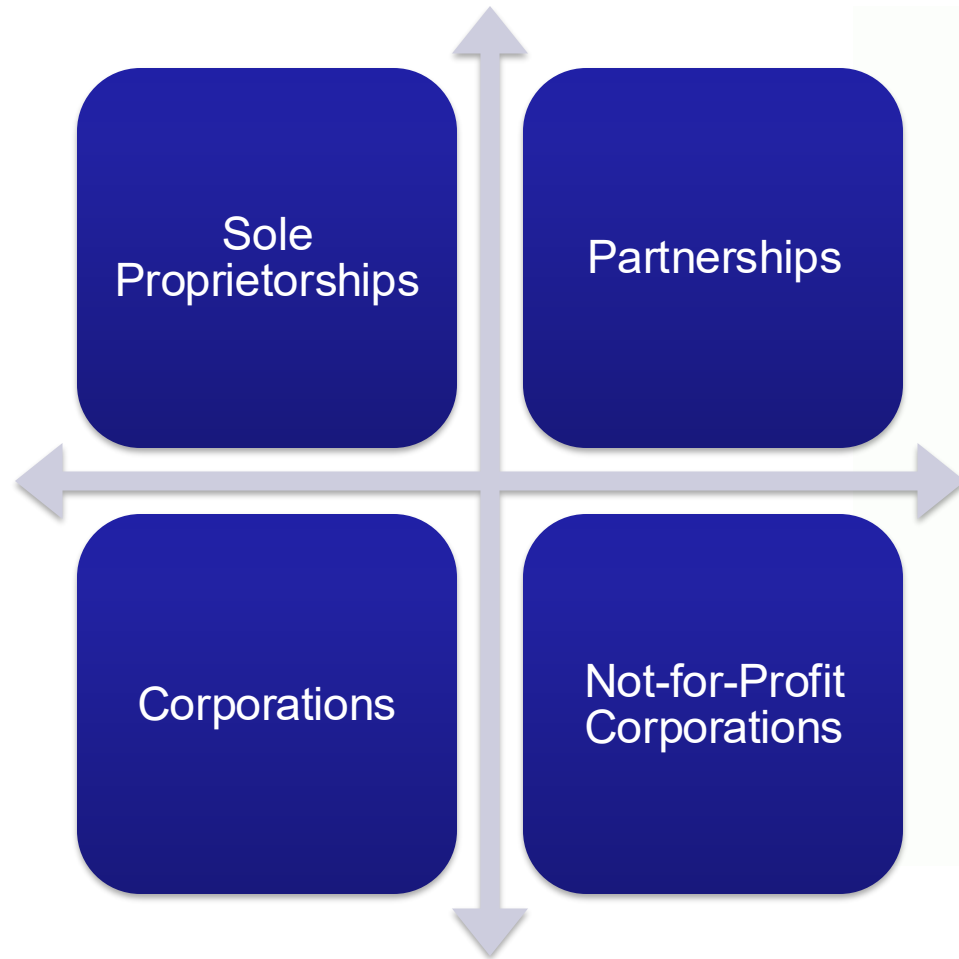
Corporations

- A legal organization with assets and liabilities separate from the assets and liabilities of its owners

Not-for-Profit Corporations

- Organizations whose goals do not include pursuing a profit

Advantages and Disadvantages of:



Corporate Management

- **Shareholders** – acquire shares in exchange for ownership
 - Preferred Shares
 - Convertible
 - Redeemable
 - Participating
 - Cumulative
 - Callable
 - Common Shares
- **Board of Directors** – elected by shareholders to oversee corporation
- **Corporate Officers & Managers** – make major corporate decisions and handle ongoing operations



Franchising

A contract-based business arrangement between a manufacturer or other supplier, and a dealer, to produce and market the supplier's good or service

- Example franchising opportunities:

[Subway](#)

[Tim Hortons](#)



The Franchising Sector



Franchising agreements exist between franchisee and franchisor



Canada has 76,000 individual franchise businesses operating under 900 different brand names



These franchises employ more than one million Canadians



More than \$100 billion in sales each year



Franchising overseas is a growing

Franchising (Franchisee Perspective)

ADVANTAGES

- Prior Performance Record
- Recognizable Company Name (Brand)
- Proven Business Model
- Tested Management Program
- Savings through Volume Purchases

DISADVANTAGES

- Initial Franchise Fees
- Future Payments (Royalties)
- Franchise Agreement Restrictions
- Tight Control
- Linked to Reputation and Management



Starting a Business



Finding Financing



- **Seed capital:** The initial funding needed to launch a new vendor
- Debt Financing
 - Credit cards
 - Family and friends
 - Bank loans
 - Finance companies
- Equity Financing
 - Venture Capitalists
 - Angel Investors

Why Small Businesses Fail



Approximately 4% of small businesses close after one year



Approximately 15% of small businesses close permanently within three years



Approximately 30% of small businesses fail within five years

Why Small Businesses Fail

- Management Inexperience
- Inadequate Financing
- Meeting Government Regulations



Creating a Business Plan

- In the past, many entrepreneurs launched businesses without a formal business plan
- Business plans help contemporary entrepreneurs prepare enough resources and stay focused on key objectives

AllBusiness.com <http://www.allbusiness.com>

Under the Finance tab, select Business Planning for links to business plan examples, templates, and tips.

Inc. <http://www.inc.com>

Under the Start-Up tab, select Writing a Business Plan. There, you'll find articles on how to structure a business plan and how to write a mission statement. You'll also find a tutorial that shows how to use your business plan as a tool.

MoreBusiness.com <http://www.morebusiness.com>

To see sample plans, select "Write a Business Plan" under "Starting a Business."

The Business Plan: A Foundation for Success

- Creating a Business Plan
 - Written documentation that provides orderly statement of goals, methods, and purpose
 - Discusses the company's mission and vision
 - Analyzes unique advantage, customers, and competition



ENTREPRENEURSHIP

STARTING YOUR BUSINESS

- 
- ☒ **Idea**
 - ☒ **Plan**
 - ☒ **Do it!**

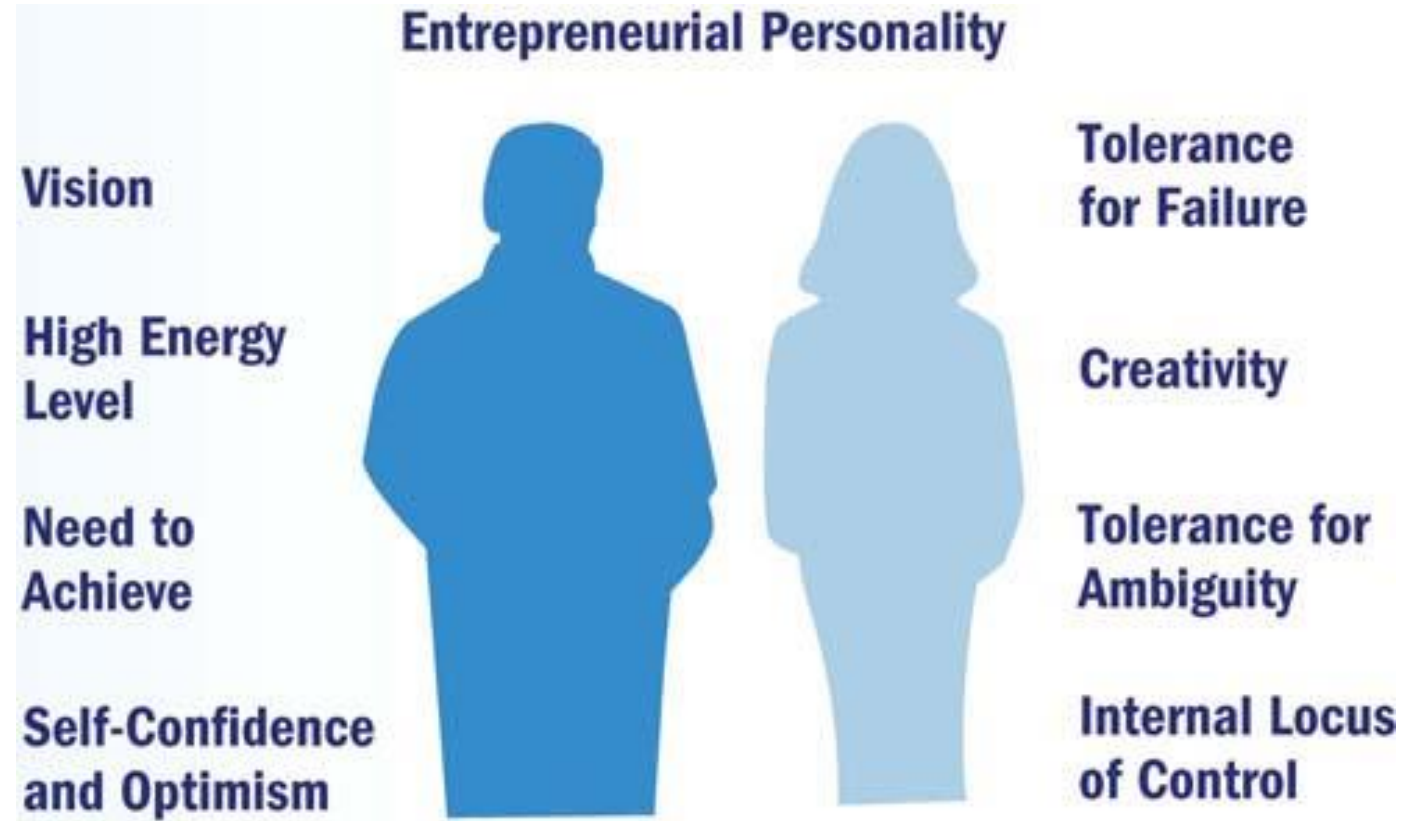
Entrepreneurship

The term 'entrepreneurship' has come to mean several different things:

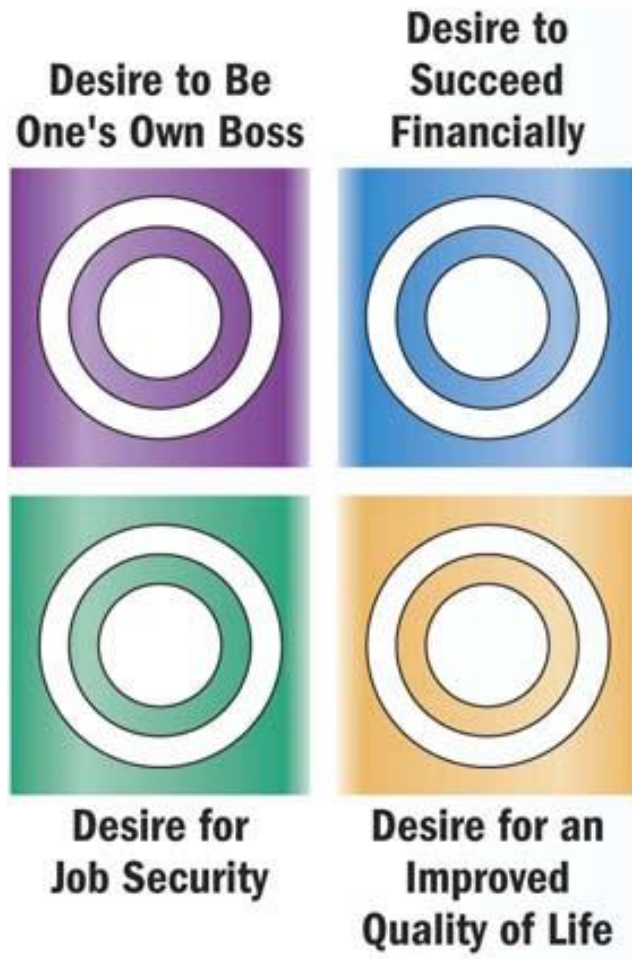
- Working for oneself, rather than for someone else (for a salary)
- Entering a new market with new or existing products/ services; or an existing market with new products/ services
- Operating a firm in which there is no separation between owner/ manager
- The process of discovering, evaluating & exploiting opportunities
- Creating new organizations of any type - not-for-profits as well as businesses – “social entrepreneurs”



Characteristics of Entrepreneurs



Why People Become Entrepreneurs



Entrepreneurial Challenges

Entrepreneurship is the highest risk/ highest return activity in business:

- Appeals to certain kinds of people – the possibility of bringing inventive ideas to life
- Some entrepreneurs enjoy – are even passionate about - the process of launching a new company – business planning, product development, raising capital, hiring the right people, etc.
 - Some of these “serial entrepreneurs” do it over & over again
- Greatest challenges:
 - Great difficulties in raising investment funds for a brazen, new idea
 - Reality is nearly always very different from what was planned
 - High failure rate - even after initial funding secured



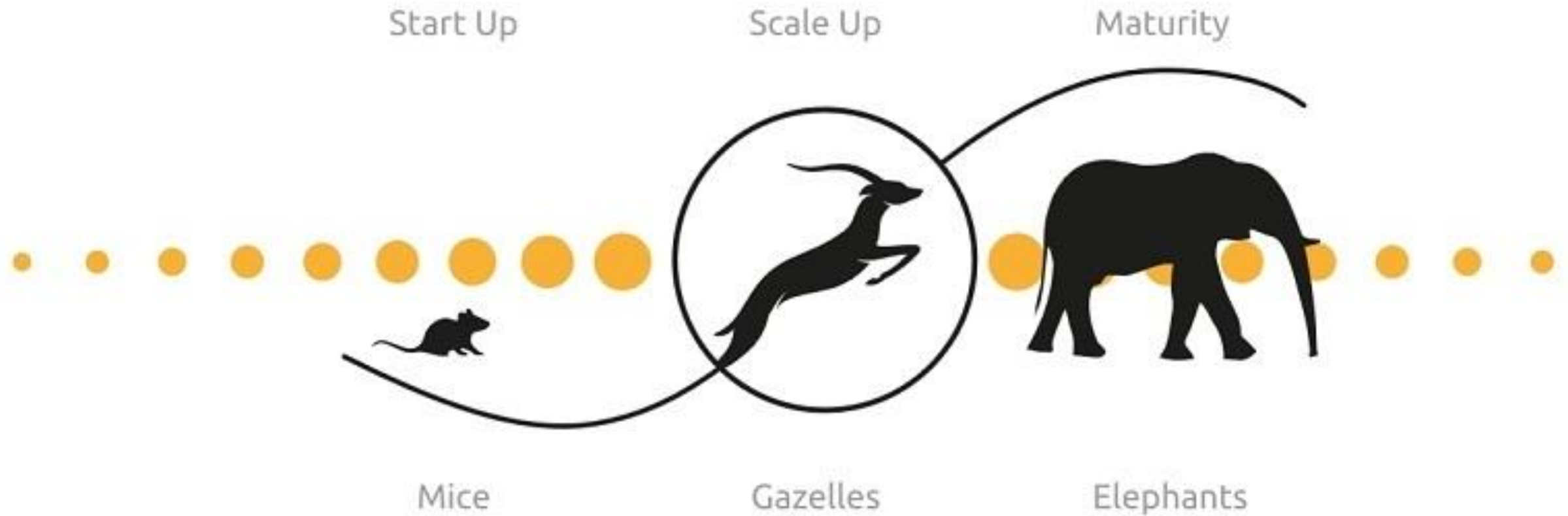
Small Businesses vs. Entrepreneurial Businesses

3 key differences:

- Size – small businesses remain small; new entrepreneurial ventures are small now, but are expected to grow rapidly, going forward
- Age – small businesses may have been that way for many years, even generations; as entrepreneurial ventures age, they grow-up
- Growth goals – small businesses are not expected to grow significantly; may have growth potential, but owners unwilling to take required steps for growth
 - Because growth is a priority for entrepreneurs, founders will often sell a stake in the business to investors (and give up some control) to fuel growth



David Birch Model



Mice

- The vast majority of businesses in Canada are quite small
 - 94.7% of companies employ fewer than 50 people
 - together generate enormous economic activity & employment
- Typical examples: small retailers, local service firms (restaurants, auto repair), independent service businesses (consultants, freelancers, designers)
- Can typically change direction quickly
- Many do not aspire to grow large, so long as they remain attractively profitable



Gazelles

- Based on Birch's definition – a gazelle is a firm that seeks rapid growth AND above average profitability – grows by at least 20%/ year for four years (from a modest \$100,000 minimum starting point) – results in a *doubling in size in 4 years*
- Often includes a radical business innovation/ implementation of new technology
- Not all gazelles are young – many firms only “take-off” after a long period of gradual growth.
 - Why? New opportunities in the marketplace, entrepreneurial management



Elephants

- Large, mostly well-known firms – “Fortune 500
- Considerable overall marketplace power
- Difficult for them to change direction quickly
- Collectively, they have fired more people than they have hired in the past 25 year





Coach

Case Study

Why Gen Z Fell in Love with Coach

Business, Society & Wealth Creation

CNBC Video: Why Gen Z Fell in Love with Coach

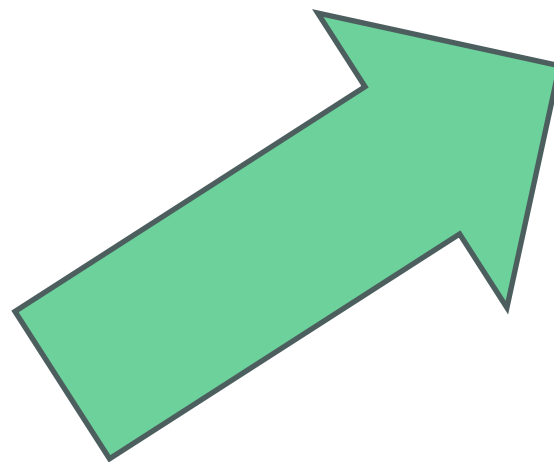


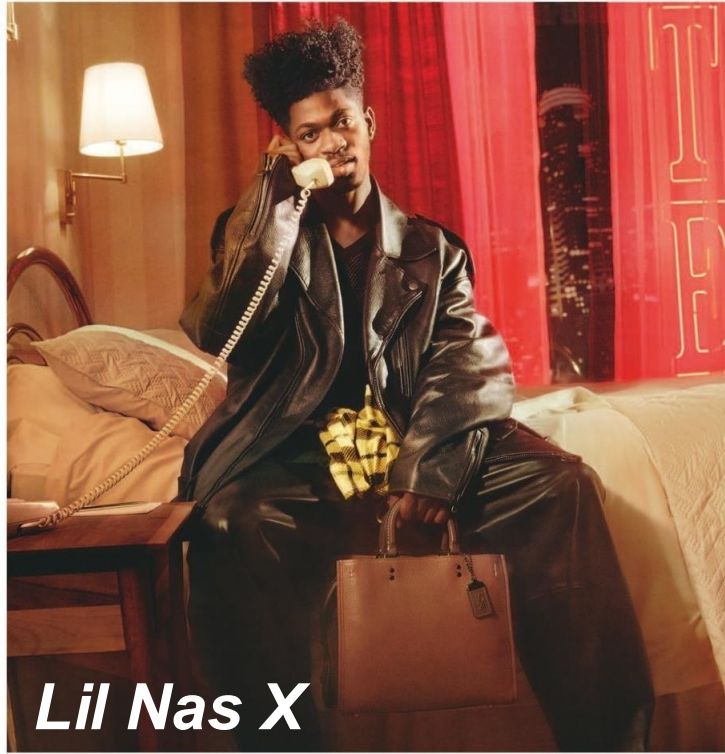


What happened to Coach and why?



**How did Coach
reverse its
decline in brand
value?**





Lil Nas X

HOW DID GEN Z ENGAGEMENT DRIVE SALES GROWTH?



Megan Thee Stallion



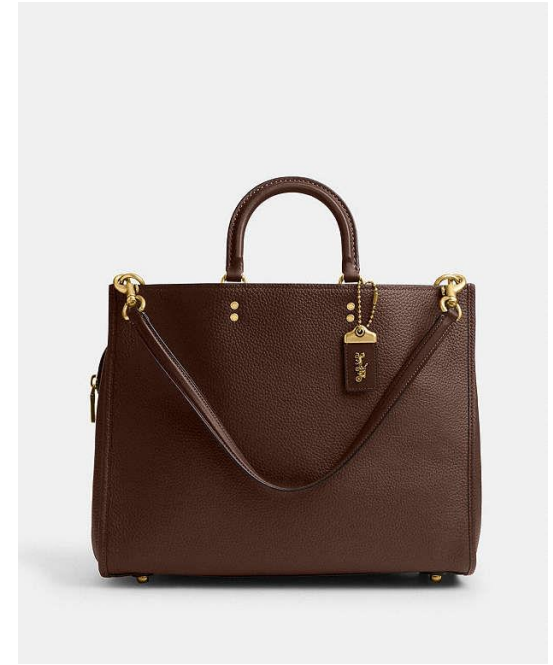
Y2K



BROOKLYN



TABBY



ROGUE

**HOW DID PRODUCT AND PRICING STRATEGY
SUPPORT ACCESSIBLE LUXURY?**



**What role did
leadership
changes play in
Coach's
turnaround?**

TODD KAHN



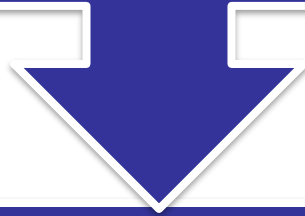
Questions?

A large, irregular splash of teal ink is centered on a white background. The splash has a textured, painterly appearance with darker teal in the center and lighter, more diffused edges. Numerous small, dark teal droplets and specks are scattered around the main splash, particularly towards the top and right sides.

Self Study

What is a Small Business?

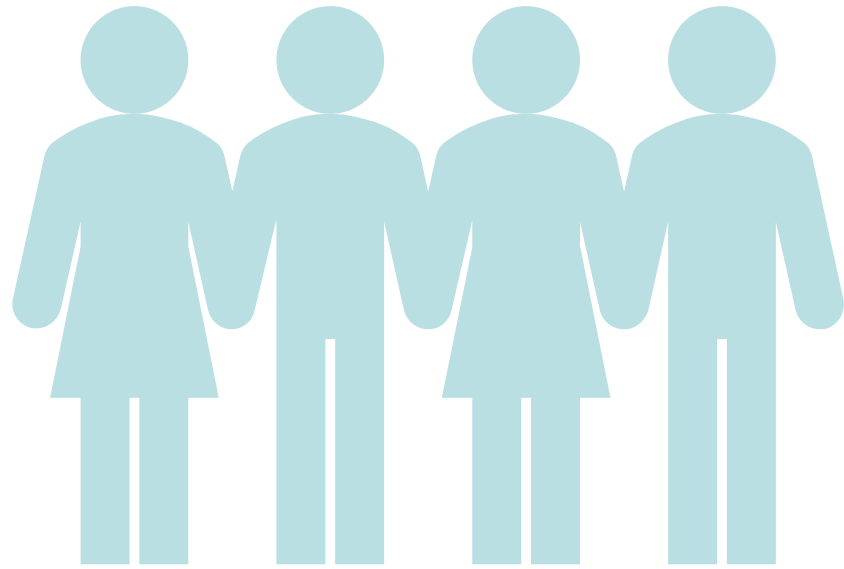
Industry Canada defines a small business as an “independent business with fewer than 100 employees and revenues less than \$2 million”



Small businesses account for approximately two-thirds of the employment in five Canadian industries: non-institutional health care, construction, accommodation and food, forestry, and other services



Most Businesses are Small Businesses



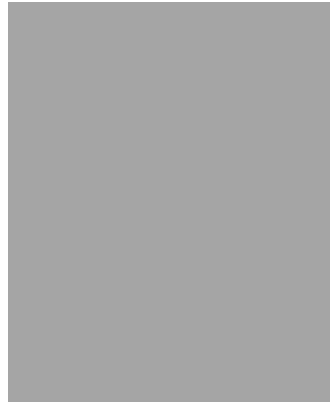
- Approximately 97% of Canadian firms have fewer than 100 employees on staff
- Canada has approximately 2.7 million self-employed individuals
- Small businesses are a launching pad for entrepreneurs

Contributions of Small Business to the Economy



- Create New Jobs
- Account for more than 29% of the GDP
- Offer Customized Services
- Create New Industries
- Encourage Innovation

Typical Small- Business Ventures



Home-Based Business

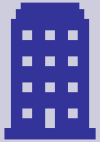
Benefits

1. Allows for more control of business
2. Allows for more control of personal time
3. Keeps startup and operating expenses low

Drawbacks

1. Owner can feel isolated
2. Business has less visibility to customers

Public (Government) Ownership of Business

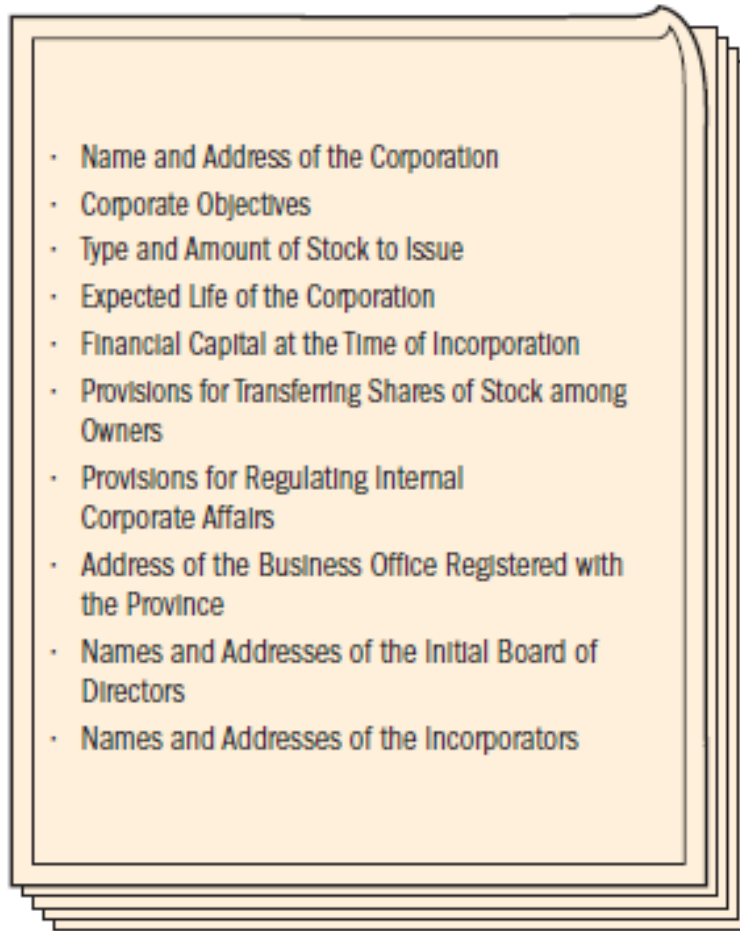


A government unit or agency owns and operates an organization



Examples: Manitoba Hydro, Toronto Transit Commission (TTC)

Organizing a Corporation



- Most small businesses are incorporated in the provinces where they operate, but they may choose to incorporate in any province
- Incorporation can be done at the federal or provincial level
- Information in the *articles of incorporation* (right) forms the basis on which a government grants a *corporate charter*

Who will create wealth?

- Entrepreneurs
 - From sole proprietors to public companies
- SME (small and medium sized enterprises)
- Large corporations
 - Private and public
- Government institutions



Who will help? Assistance for Small Business

- Investors (angels, venture capitalists, banks, government, etc.)
- Local, provincial, national governments
 - Supply infrastructure, tax incentives, etc.
- Business development bank of Canada is a place where only entrepreneurs can get money, advice, expertise
 - <http://www.bdc.ca/EN/Pages/home.aspx>



Assistance for Small Businesses

- When a bank loans money to a small business and it is not paid back, the government will guarantee payment of 85% of the loan if the loan applicant had successfully applied to the Canada Small Business Financing Program
- Business Incubators
 - Local community initiatives to share resources for small startups. The Canadian Association of Business Incubators is a national association of member organizations

Canadian Acceleration and Business Incubation

